

THE CORRESPONDENT LEGAL GUIDE AND DEFINITIONS

This Chapter of the Guide includes representations, warranties, requirements and obligations of the Seller which are in addition to, and not in place of, the Seller's obligations contained in the Loan Purchase Agreement or any other document between Flagstar and Seller. This Chapter is applicable only to Sellers who have executed a Loan Purchase Agreement on or after November 15, 2018. Sellers who executed a Loan Purchase Agreement prior to November 15, 2018 shall still be subject to Section 4001 "Legal Guide."

All guidance and information contained in the Guide, including this Chapter, should in no way be construed as an offer of legal advice by Flagstar or its affiliates. While the Guide provides helpful tools, policies, procedures and requirements, the Seller should seek independent legal opinion(s) from qualified sources for all legal determinations, including with respect to any individual Mortgage Loan.

For purposes of the Loan Purchase Agreement and this Chapter of the Guide, the following capitalized terms have the meanings specified in this Section:

AGENCY OR AGENCIES

The Federal National Mortgage Association ("Fannie Mae"), Federal Home Loan Mortgage Corporation ("Freddie Mac"), Government National Mortgage Association ("Ginnie Mae"), Federal Housing Administration ("FHA"), Department of Veterans Affairs ("VA"), Department of Housing and Urban Development ("HUD"), or any other federal or state agency which purchases, insures or guarantees Mortgage Loans or securities backed by Mortgage Loans.

APPLICABLE LAW

All federal, state and local laws, rules, regulations and regulatory guidance, as amended from time to time, applicable to the origination, consummation, sale and servicing of Mortgage Loans including, but not limited to, the Truth in Lending Act and Regulation Z ("TILA"), the Equal Credit Opportunity Act and Regulation B ("ECOA"), the Real Estate Settlement Procedures Act and Regulation X ("RESPA"), the Fair Credit Reporting Act ("FCRA"), the Flood Disaster Protection Act, the Fair Housing Act, and the Home Mortgage Disclosure Act and Regulation C ("HMDA").

BORROWER

The person or persons who submit an application to Seller, receive a Mortgage Loan, and are obligated to pay under the terms of the Note.

CLOSING

The time when the Borrower signs a Note evidencing a Mortgage Loan and the Mortgage securing payment of said Note.

COMMITMENT

The written correspondence issued by Flagstar to Seller which indicates Flagstar's agreement to purchase a specific Mortgage Loan if all conditions stated in the Commitment, the Loan Purchase Agreement, the Guide, and Investor Guidelines are met.

DISBURSEMENT DATE

The date that funds for a Closing, evidenced by an executed Note, are disbursed on behalf of the Borrower by the settlement agent, closing agent, closing attorney or such other party authorized to conduct the Closing.

INVESTOR GUIDELINES

All policies, procedures, and requirements of the Agencies, Private Investors, and/or specific Mortgage Loan Program requirements, applicable to the registration, underwriting, closing, funding and sale of Mortgage Loans to Flagstar.

LOAN PURCHASE AGREEMENT

A contract signed by Flagstar and Seller which evidences their agreement for Seller to sell to Flagstar Mortgage Loans.

MORTGAGE

A valid and enforceable mortgage, deed of trust, or other security instrument pledging property as security for payment of the Note.

MORTGAGE LOAN

A loan secured by a first or second lien on a one to four family dwelling, evidenced by a Note and secured by a Mortgage, and including the Mortgage Loan Documents and all other instruments evidencing a Borrower's indebtedness, offered for sale to Flagstar as satisfying all of the requirements and standards for the applicable Mortgage Loan Program.

MORTGAGE LOAN AMOUNT

The face amount of the Note for all Mortgage Loans delivered.

MORTGAGE LOAN DOCUMENTS

Any and all documents creating, evidencing, or securing a Mortgage Loan, required by a Mortgage Loan Program, Investor Guidelines or otherwise required to be maintained or prepared by Seller or on behalf of Seller or Borrower by a third party (for example, by an appraiser) pursuant to the Loan Purchase Agreement or the Guide.

MORTGAGE LOAN PROGRAM

A type of Mortgage Loan, the terms and conditions of which are described in the Guide, and which can be offered to prospective Borrowers as a Mortgage Loan eligible for sale to Flagstar under the terms of the Loan Purchase Agreement.

MORTGAGED PROPERTY

The property encumbered by the Mortgage.

NOTE

The valid, binding, and enforceable instrument which evidences a Borrower's obligation to repay a Mortgage Loan secured by a Mortgage.

PURCHASE DATE

The date upon which Flagstar transmits to the Seller the agreed upon Purchase Price and the Seller assigns to Flagstar all of its rights, title and interest (including servicing rights) in a Mortgage Loan.

PRIVATE INVESTOR

An entity or entities other than an Agency to whom Flagstar will be selling a Mortgage Loan, whether through a whole loan sale, a securitization, or such other mechanism by which full legal title to a Mortgage

Loan is conveyed by Flagstar for value. Flagstar shall be considered a Private Investor for Mortgage Loans purchased from a Seller but held in Flagstar's portfolio.

SELLER

An entity that has executed a Loan Purchase Agreement with Flagstar and who intends to sell a Mortgage Loan or Mortgage Loans to Flagstar in the secondary market.

SELLER'S GUIDE OR GUIDE

All policies, procedures, and requirements of Flagstar, including but not limited to this Correspondent Legal Guide, made available to the Seller and applicable to the registration, underwriting, Closing, funding and selling of Mortgage Loans. Flagstar may modify the Guide in part or in whole at any time as set forth in the Loan Purchase Agreement.

UNDERWRITE OR UNDERWRITING

The examination and evaluation, pursuant to the terms of a Mortgage Loan Program or applicable Investor Guidelines, of the creditworthiness of the Borrower and the sufficiency of the Mortgaged Property for purposes of determining whether or not to make a Mortgage Loan.

UNDERWRITING ERROR

Any mistake, omission or action in the Underwriting of a Mortgage Loan which directly or indirectly relates to or causes a claim or demand made to or against Flagstar, or that may be made by Flagstar to or against Seller.

REPRESENTATIONS, WARRANTIES, AND COVENANTS

SELLER WARRANTIES ON FLAGSTAR LOANS

Seller represents and warrants that, in connection with each Mortgage Loan submitted to Flagstar that:

1. All Mortgage Loan Documents, and all information contained therein, submitted by Seller or Seller's agent, including but not limited to information supplied by the Borrower to the Seller, are in every respect true, correct, and complete. No fraud, error, omission, misrepresentation, negligence or similar occurrence was committed in connection with the origination of the Mortgage Loan.
2. The Mortgage Loan Documents have been duly executed by Borrower, acknowledged and sent for recording; the Borrower is the true and only obligor on the Mortgage Loan and is the real party in interest thereon, and there is no verbal understanding or written modification which would affect the terms of the Note or Mortgage. The terms of the Mortgage Loan Documents have not been impaired, waived, altered or modified in any respect.
3. No Borrower has been released, in whole or in part under any Mortgage Loan. The Mortgage Loan satisfies all of the requirements contained in the Guide and the standards for the applicable Mortgage Loan Program under which Seller is offering the Mortgage Loan. Seller acknowledges that this determination is made in Flagstar's sole discretion.
4. At the time of the sale of the Mortgage Loan to Flagstar, the full principal amount of the Mortgage Loan has been advanced on behalf of the Borrower in accordance with the closing disclosure or similar document. All costs, fees, and expenses incurred in making, Closing, and recording the Mortgage Loan have been paid.
5. Seller understands that Flagstar intends to sell the Mortgage Loans to investors in the secondary market. Accordingly, Seller represents and warrants that the Mortgage Loans are in full compliance with all applicable Investor Guidelines. The Mortgage Loans meet all specifications, representations and warranties of the Investor Guidelines, and all Mortgage Loan

Documents are the current version required by the Investor Guidelines. There are no circumstances or conditions with respect to any Mortgage Loan, Mortgaged Property, the Borrower, or the Borrower's credit standing that will cause a Private Investor or an Agency to regard the Mortgage Loan as an unacceptable investment, cause the Mortgage Loan to become delinquent or adversely affect the value or marketability of the Mortgage Loan, including instances where the Borrower has requested forbearance or is currently in a forbearance plan.

6. Seller has the authority to sell, transfer, and assign such Mortgage Loan on the terms set forth herein. There has been no assignment, sale or pledge thereof by Seller, and as of the date of purchase by Flagstar, the Mortgage Loan is free and clear of claims or encumbrances of any type. An intervening assignment or transfer by the Seller to the warehouse bank that was used to facilitate the transaction shall not be considered to be a breach of this representation and warranty.
7. Mortgage Loans shall be closed in Seller's name unless required or otherwise authorized by Flagstar. Seller agrees to:
 - a. Endorse the original Note without recourse to Flagstar Bank, **N.A.**. Seller acknowledges that any executed agreement, power of attorney, or consent resolution that grants Flagstar the authority to execute, assign, or endorse Mortgage Loan Documents on behalf of the Seller does not release Seller from the responsibilities listed herein.
 - b. Do, execute, acknowledge, and deliver or cause to be done, executed, acknowledged, and delivered, all such further acts, deeds, assignments, documents, instruments, transfers and assurances as Flagstar may reasonably request to confirm and perfect Flagstar's right, title and interest in and to, and possession of, the Mortgage Loan and the Mortgage Loan Documents.
8. Unless otherwise permitted by the applicable Mortgage Loan Program, the Mortgage Loan is secured by a valid and enforceable first lien on Mortgaged Property and is insured by a lenders' title insurance policy issued by an underwriter and expressed on a form consistent with the standards of American Land Title Association (ALTA), or as otherwise acceptable to Flagstar and/or applicable Investor Guidelines. The title policy, as issued, will insure Flagstar, its successors and/or assigns, without exceptions, as holding the first lien against the Mortgage Property for the full amount of the Mortgage Loan and no claims have been made under such lender's title insurance policy, and neither Seller nor any prior holder of the Mortgage, has done, by act or omission, anything which would impair the coverage of such lender's title insurance policy including without limitation, no unlawful fee, commission, kickback or other unlawful compensation or value of any kind has been or will be received, retained or realized by any attorney, firm or other person or entity, and no such unlawful items have been received, retained or realized by Seller.
9. The property securing a Mortgage Loan is insured by effective hazard insurance which is sufficient under Applicable Law, Investor Guidelines, and Flagstar. For purposes of this section, hazard insurance includes flood insurance when the Mortgaged Property is located in a special flood hazard area, as determined in accordance with Applicable Law. Any hazard insurance policy was issued by an insurer acceptable to Flagstar and is the valid and binding obligation of that insurer, is in full force and effect, and will be in full force and effect and inure to the benefit of Flagstar upon the sale or assignment of the Mortgage Loan to Flagstar.
10. Seller has obtained a life of loan, transferable flood certification contract for each Mortgage Loan with a flood policy insurer acceptable to Flagstar and such contract is assignable to Flagstar, its successors and assigns, without cost.
11. If the Mortgage Loan is required to have mortgage insurance (whether private or in connection with a government insured or guaranteed Mortgage Loan) then an appropriate mortgage insurance

policy has been obtained (or, with Flagstar's consent, is in the process of being obtained) and is (or will be) in compliance with Applicable Law and Investor Guidelines. Nothing has been done or omitted that would invalidate the mortgage insurance prior to the sale of the Mortgage Loan to Flagstar. Seller agrees to compensate Flagstar for under-disclosure of mortgage insurance coverage as required by the Commitment issued by Flagstar.

12. Seller shall deliver original final recorded document(s) within 240 days from the Purchase Date. If Seller utilized Flagstar as the Underwriter of a Mortgage Loan, this requirement shall instead be 180 days from Purchase Date. Seller shall deliver all other Mortgage Loan Documents as set forth in the Loan Purchase Agreement, the Guide, or as otherwise communicated to Seller by Flagstar. In addition to all other remedies available to Flagstar, failure to do so may result in additional fees.
13. Seller has complied with any and all Applicable Laws with respect to a Mortgage Loan. The Seller shall maintain in its possession, available for inspection by Flagstar, an Agency, the Office of the Comptroller of the Currency ("OCC") or any other of Flagstar's regulators, and shall deliver to Flagstar, upon request, evidence of compliance with all such requirements. There are no defaults in complying with the terms of any Mortgage Loan, and all taxes, governmental assessments, insurance premiums, water, sewage, and municipal charges relating to any Mortgage Loan which previously became due and owing have been paid, or an escrow of funds has been established in an amount sufficient to pay for every such item which remains unpaid.
14. Seller has not advanced funds, or induced, solicited, or knowingly received any advance of funds by a party other than the Borrower, directly or indirectly, for payment of any amount required by the Mortgage Loan.
15. The Mortgage Loan is not subject to any right of rescission, set-off, counterclaim or defense, including without limitation the defense of usury, nor will the operation of any of the terms of the Note, Mortgage or other Mortgage Loan Documents, or the exercise of any right thereunder, render any such documents unenforceable, in whole or in part, or subject to any right of rescission, set-off, counterclaim or defense, including without limitation the defense of usury, and no such right of rescission, set-off, counterclaim or defense has been asserted with respect thereto. No Borrower was a debtor in any state or federal bankruptcy or insolvency proceeding at the time the Mortgage Loan was originated.
16. None of the Mortgage Loans are or may be classified as (a) "high cost" under the Home Ownership and Equity Protection Act of 1994 or Regulation Z, or (b) "high cost", "higher-priced", "threshold", "predatory", "covered" loans under any other Applicable Law (or a similarly classified loan using different terminology under an Applicable Law imposing heightened regulatory scrutiny or additional legal liability for residential mortgage loans having high interest rates, points and/or fees).
17. The Mortgage contains customary and enforceable provisions such as to render the rights and remedies of the holder thereof adequate for the realization against the Mortgaged Property of the benefits of the security provided thereby, including, (i) in the case of a Mortgage designated as a deed of trust, by trustee's sale, and (ii) otherwise by judicial foreclosure. Upon default by a Borrower on a Mortgage Loan and foreclosure on, or trustee's sale of, the Mortgaged Property pursuant to the proper procedures, the holder of the Mortgage Loan will be able to deliver good and merchantable title to the Mortgaged Property. There is no homestead or other exemption available to the Borrower which would interfere with the right to sell the Mortgaged Property at a trustee's sale or the right to foreclose the Mortgage subject to Applicable Law and judicial precedent with respect to bankruptcy and right of redemption.
18. As of the applicable Closing, except where not required by a particular Mortgage Loan Program, the Mortgaged Property is lawfully occupied by the Borrower under Applicable Law. For Mortgage Loans financing the purchase of the Mortgaged Property, the Borrower does or will

occupy or use the Mortgaged Property in conformance with the requirements for that particular Mortgage Loan Program. In the event the Mortgage constitutes a deed of trust, a trustee, duly qualified under applicable Law to serve as such, has been properly designated and currently so serves and is named in the Mortgage, and no fees or expenses are or will become payable by Seller or Flagstar to the trustee under the deed of trust, except in connection with a trustee's sale after default by the Borrower.

19. There is no proceeding pending or threatened for the total or partial condemnation of the Mortgaged Property. The Mortgaged Property is undamaged by waste, fire, earthquake or earth movement, windstorm, flood, tornado or other casualty. The Mortgaged Property is free from any and all toxic or hazardous substances and there exists no violation of any local, state or federal environmental law, rule or regulation. There is no pending action or proceeding directly involving any Mortgaged Property in which compliance with any environmental law, rule or regulation is an issue; and nothing further remains to be done to satisfy in full all requirements of each such law constituting a prerequisite to use and enjoyment of said property.
20. If required for a particular Mortgage Loan Program, the Mortgage Loan Documents contain an appraisal of the related Mortgaged Property. The appraisal was performed in accordance with Applicable Law and applicable Investor Guidelines and with the Uniform Standards of Professional Appraisal Practice or such other performance standard acceptable to Flagstar.
21. The Borrower has not notified the Seller and the Seller has no knowledge of any relief requested or allowed to the Borrower under the Servicemembers' Civil Relief Act of 2003, as amended, or any similar Applicable Law.
22. Seller shall notify Flagstar if it is notified or has reason to know of any complaint by a Borrower that could impact the enforceability of the Mortgage Loan or materially adversely impact the financial condition of the Seller or the Seller's ability to perform its obligations under the Loan Purchase Agreement, or any complaint to or investigation by any federal, state, or local regulatory agency related to any Mortgage Loan.
23. If applicable, to the extent the Seller services a Mortgage Loan, the Mortgage Loan was serviced according to and in conformance with Investor Guidelines, Applicable Law, or otherwise in a manner acceptable to Flagstar.
24. Seller will abide by all instructions from Flagstar regarding the transferring of any mortgage loan servicing, as that term is defined in Applicable Law.
25. For instances in which Seller chooses to utilize Flagstar as the Underwriter of a Mortgage Loan, Seller makes no representation or warranty with respect to any error made by Flagstar in Underwriting the Mortgage Loan. However, Seller shall continue to represent and warrant that all information and documentation provided to Flagstar by Seller or by Borrower as part of the Underwriting process is true, accurate, complete, and not misleading. The provision to Flagstar by Seller or by Borrower of any information or documentation that is untrue, inaccurate, incomplete, or misleading shall render this paragraph, and any limitation it provides to Seller's representation and warranty liability, inoperable.
26. Following Flagstar's purchase of a Mortgage Loan, Seller will not solicit the Borrower to take any action with respect to the Mortgage Loan that is inconsistent with or violates any other representation, warranty, term or condition of the Loan Purchase Agreement or the Guide, including, but not limited to, any provisions related to Early Loan Payoff. To the extent that Section XIII of the Agreement contains a more restrictive non-solicitation provision, this Paragraph 26 amends and limits Section XIII. Furthermore, this Paragraph would not apply to promotions or activities undertaken by the Seller that are directed to the general public at large.
27. Each of the representations and warranties contained in this section:

- a. Is cumulative with the other representations and warranties contained in the Loan Purchase Agreement, the Guide, and any applicable Investor Guidelines.
- b. Is not limited to matters of which the Seller had knowledge. The action or inaction (including misrepresentation or fraud) of the Borrower, or a third party, as well as the action or inaction (including misrepresentation or fraud) of the Seller will constitute the Seller's breach of a selling warranty;
- c. Is made as of the Funding Date of the Mortgage Loan;
- d. Shall not be diminished or otherwise affected by the fact that a Mortgage Loan has passed Flagstar Underwriting, quality control review, a more comprehensive review prior to funding, or any other review performed, if a warranty breach is later discovered; and
- e. Shall not be diminished or otherwise affected by the specifications of, or documentation required for the Mortgage Loan Program under which the Mortgage Loan was originated.

REMEDY OBLIGATIONS

1. Seller agrees to fulfill the Remedy Obligations set forth in this Section upon the occurrence, discovery or notification of any of the following events and upon written request by Flagstar, no later than the date specified in Flagstar's written request. Seller's Remedy Obligation shall survive any termination or cancellation of the Loan Purchase Agreement. Collectively, the following events shall be referred to herein as "Remedy Obligation Conditions."
 - a. Seller fails to observe or perform or breaches in any respect any of the representations, warranties or agreements contained in the Guide, the Loan Purchase Agreement, or Investor Guidelines with respect to any particular Mortgage Loan.
 - b. Except as limited by Paragraph 25 of the Seller Warranties on Flagstar Loans section of this Correspondent Legal Guide, Flagstar is required to repurchase a Mortgage Loan from an Agency or Private Investor, or is required to fund a make whole demand from an Agency or Private Investor for any reason related to the origination or Closing of a Mortgage Loan.
 - c. Any third party, including but not limited to the Borrower, appraisers, settlement agents, title insurers, escrow agents, real estate agents, or real estate developers, has committed fraud or made a misrepresentation in any way related to a Mortgage Loan. Such fraud or misrepresentations shall include, but not be limited to, misrepresentations related to Underwriting.
2. Each of these Remedy Obligations shall be cumulative, and Flagstar's demand for one type of Remedy Obligation shall be without prejudice to its right to demand any other type of Remedy Obligation or any other remedy or right available to Flagstar at law or equity. Similarly, the failure or decision by Flagstar not to demand one type of Remedy Obligation upon the occurrence or discovery of any of the Remedy Obligation Conditions (as defined immediately above) shall not waive or otherwise limit Flagstar's ability to demand a Remedy Obligation in the future. Upon the occurrence or discovery or notice of any of the Remedy Obligation Conditions, Seller's Remedy Obligation shall be as follows:
 - a. Seller shall repurchase from Flagstar an existing Mortgage Loan, at a repurchase price consisting of: (i) the unpaid principal balance of the Mortgage Loan; (ii) all accrued but unpaid interest due Flagstar or its assignee, negative escrows, and other fees and charges due under the Mortgage Loan Documents; (iii) all reasonable expenses, including, but not limited to reasonable attorney fees incurred by Flagstar in enforcing Seller's Remedy Obligation; and (iv) any premiums paid to Seller in conjunction with the Mortgage Loan. To the extent that Seller refinances the Mortgage Loan as an alternative to the repurchase obligations set forth in this Paragraph 2, the Seller will still be responsible for the premiums described in sentence (iv).

- b. Seller shall be obligated to make whole and reimburse Flagstar for all losses, damages, claims and demands arising out of, or relating to, the Remedy Obligation Conditions, including but not limited to losses and damages resulting from repurchase demands and make whole demands made to Flagstar by an Agency or any other investor to whom Flagstar has sold a Mortgage Loan, and including but not limited to attorney fees and costs, and any premiums paid to Seller in conjunction with the Mortgage Loan.
 - c. Seller shall indemnify and hold harmless Flagstar against any claim, demand, loss, or damages arising out of, or relating to the remedy obligation conditions set forth in Paragraph 1 of this Section, including but not limited to repurchase demands and make whole demands made to Flagstar, or which are reasonably likely to be made to Flagstar, by an Agency or any other investor to whom Flagstar has sold a Mortgage Loan.
 - d. Seller shall immediately cure such breach to the satisfaction of Flagstar or Flagstar's investor, if in Flagstar's sole and absolute discretion, the breach is curable.
- 3. Flagstar shall have the sole right to repurchase a Mortgage Loan from or make whole and reimburse or otherwise indemnify an Agency or Private Investor without prior notice to Seller. Seller shall have no right to participate in or challenge the repurchase or indemnification process between Flagstar and any Agency or Private Investor, or Flagstar's disposition of the Mortgage Loan or the Mortgaged Property after repurchase from the Agency or Private Investor, including but not limited to, the decision to foreclose on the Mortgaged Property, the method by which the Mortgaged Property is marketed or sold, the sale price of the Mortgaged Property, or the approval or disapproval of a short sale of the Mortgaged Property. Flagstar shall have the complete and exclusive right to determine the conduct and defense of any legal proceedings or investigations related to the Mortgage Loan against any third party including, without limitation, the right to compromise, settle, defend, or continue any such action.
 - a. Notwithstanding the rights otherwise reserved in this Paragraph 3, Flagstar will use commercially reasonable means to inform Seller of any demands from an Agency or Private Investor for repurchase, make whole, reimbursement or otherwise for indemnification related to a Mortgage Loan. Further, Flagstar may or may not seek out information from Seller to assist in rebutting or responding to any demand. The decision to incorporate or not incorporate any response or rebuttal information provided by Seller is solely Flagstar's. Nothing in this subparagraph shall operate to impair or diminish in any way Seller's Remedy Obligations if Flagstar does not provide notice to the Seller or otherwise chooses not to include any information provided by Seller in connection with any demand.